
OVERVIEW

In order to be eligible to bill and receive payments, child care providers are required to comply with the Child Development and Care (CDC) program requirements. Providers who are found to be in violation of the rules may serve a disqualification period.

RULE VIOLATIONS

Rule violations include, but are not limited to:

- Failure to maintain time and attendance records.
- Failure to respond to requests for time and attendance records and/or other requested documentation by the Michigan Department of Lifelong Education, Advancement and Potential (MiLEAP).
- The CDC program office reserves the right to end a provider's enrollment for billing that results in overpayment for care that was not provided.
- The CDC program office reserves the right to deny enrollment when the applicant has a previous welfare fraud conviction.

Inappropriate billing:

- Absence hours
- Times when child(ren) were in school
- For child(ren) who were not in your care
- For more hours than child(ren) were actually in your care
- Prior to the first day and/or after the last day of care
- Billing Scheduled hours as a License Exempt Provider
- Billing for more than the maximum number of children at one time for your provider type

TIME AND ATTENDANCE REVIEW PROCESS

The Child Development and Care (CDC) office at the MiLEAP will request time and attendance records from randomly selected child care providers.

The CDC office will determine if the provider's records:

- Comply with program requirements.
- Indicate an error or errors.
- Indicate an intentional program violation may have occurred.

Provider Errors

Provider errors are defined as unintentional errors made by the provider.

When it is determined that a provider error has occurred, a notice of violation will be sent to the provider informing him or her of the error, even if the error is found on a second or subsequent review. If the same error continues, the provider may be assessed for an Intentional Program Violation. The following are examples of provider errors:

- Caring and billing for more children than allowed at one time.
- Providing care in the wrong location.
- Licensed exempt-related or license exempt-unrelated provider failing to use required Child Care Time and Attendance Record.
- Time and attendance records missing:
 - Parent/provider certifications.
 - Day/date.
 - Children's names.
 - In/out times.

Intentional Program Violations

Intentional program violations (IPV) are defined as an intentional act which leads to a provider receiving a greater payment amount than they are entitled to and/or failing to respond to requests by the department for information.

If a review determines an IPV may exist, additional attendance records will be requested from the provider. Once the review is completed, a summary will be presented to a review team for recommendation. The recommendation will be forwarded to CDC Program Policy for final review and determination.

The following are some examples of IPVs:

- Billing for children while they are in school.
- Failing to respond to requests for records.
- Providing care in the wrong location.
- Billing for children who are no longer in care.
- Knowingly billing for children not in care or more hours than children were in care.
- Maintaining records that do not accurately reflect the time children were in care.

Egregious IPVs will be forwarded by the CDC office to the Office of Inspector General for review.

DISQUALIFICATIONS

Providers determined to have committed an IPV may serve the following penalties:

- First occurrence - six-month disqualification. The closure reason will be **CDC not eligible due to 6-month penalty period.**
- Second occurrence - twelve-month disqualification. The closure reason will be **CDC not eligible due to 12-month penalty period.**
- Third occurrence - lifetime disqualification. The closure reason will be **CDC not eligible due to lifetime penalty.**

Note: A lifetime disqualification will be imposed for welfare fraud convictions.

Bridges will send the DHS-4807, Notice of Child Development and Care Provider Ineligibility, and the DHS-4807-C, Client Notice of

Child Development and Care Provider Ineligibility, when a disqualification is applied.

Local offices can view disqualification information in Bridges on the Search Enrolled Provider screen in Inquiry or on the Provider Service Details screen in Provider Management.

Disqualifications will apply to all CDC service provider types.

RE-ENROLLMENT AFTER DISQUALIFICATION

When a provider requests to be reactivated after serving their disqualification penalty period the following will be reviewed by the CDC Office to ensure they meet all the following requirements:

- The penalty period has passed.
- The provider requests to be reactivated.
- The provider must be current on all recoupment repayment plans.
- The provider must be current with Ongoing Annual Health and Safety Training prior to being reactivated.
- The provider must meet all program eligibility requirements.

RECONSIDERA- TIONS

Providers are notified on the Provider Disqualification Notice that a reconsideration of the disqualification may be requested. The notice informs providers the reconsideration information must be requested within 15 calendar days of the date on the notice and sent to the CDC office. No reconsiderations will be accepted after the 15-day time period, unless there are extenuating circumstances.

Note: Fraud convictions are not subject to the reconsideration process.

RECONSIDERATION PROCESS

When the CDC office receives a request for reconsideration of the disqualification, any additional information provided by the due date will be reviewed. A reconsideration decision notice will be sent informing the provider whether the disqualification has been reversed or upheld.

The decision is final and no further requests for reconsideration will be granted.

ENROLLMENT OF A PROVIDER AFTER THE PENALTY PERIOD HAS ENDED

When the penalty period has ended, the closure reason will change to **CDC penalty period has ended. See BEM 704 for re-enrollment requirements.**

When a license exempt provider requests to be re-enrollment after serving a penalty period, all of the following must be true:

- The penalty period has passed.
- Provider requests to be re-enrolled.
- Provider must be current on all recoupment repayment plans.
- Provider must be current with ongoing health and safety training prior to being re-enrolled.
- There is no current OIG or pending investigation.
- All eligibility requirements are met.

License exempt providers will need to follow the enrollment process; see [BEM 704](#).

If the provider is licensed he/she will need to contact the CDC office at 517-241-9492. The CDC office will email MDHHS-Provider-Management@michigan.gov to reinstate the provider. The service begin date will be the first day that starts the pay period after the penalty period has ended, if the licensed provider is eligible.

LEGAL BASE**CDC**

The Child Care and Development Block Grant (CCDBG) Act (42 USC § 9858 et seq.), as amended by the CCDBG Act of 2014 (Pub. L. 113-186).
45 CFR Parts 98 and 99.
Social Security Act, as amended 2016.